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Executive Summary

This report critically examines Arend Lijphart's suggestion that central banking—specifically independent central banks—constitutes a *pattern of democracy*. We begin by explicating Lijphart's conceptual criteria for "patterns of democracy" (the majoritarian vs consensus model typology) and how central bank independence fits into his analysis【37†L9221-L9227】【72†L1593-L1600】. We survey primary sources (Lijphart's *Patterns of Democracy*, especially Chapter 13 and the conclusion) and secondary literature on central bank independence. The evidence shows that consensus democracies (e.g. Switzerland, Germany, US) typically feature strongly independent banks (SNB, Bundesbank, Fed with Cukierman scores ~0.63【72†L1593-L1600】【93†L1-L4】), whereas many Westminster-style democracies historically had weaker banks (e.g. pre-1997 UK, Belgium's NBB had only 0.17 in 1945–94)【72†L1593-L1600】【93†L1-L4】. Comparative empirical surveys confirm that higher legal independence correlates with better inflation outcomes and, crucially, that reforms increasing independence have the strongest positive effect in democracies【84†L166-L174】.

However, key scholarly critiques challenge treating central bank independence as a fundamental "pattern." Some scholars note that Lijphart's addition of central banks to the consensus cluster is empirically odd: it shows the weakest internal correlation with the other variables and may have been included post-hoc because it fit his inductive typology【77†L888-L897】. In fact, consensus-system advantages in Lijphart's data derive largely from corporatist interest groups and central banks; without them, the consensus/majoritarian performance gap vanishes【77†L875-L884】【77†L888-L897】. Normative theory further questions whether independent central banks can be squared with democratic principles: independence aims to insulate monetary policy from short-term politics (time-consistency), but it also reduces direct political accountability. Critics argue that such technocratic delegation requires robust accountability channels (reporting, legislative oversight) to maintain legitimacy【65†L33-L41】【70†L118-L127】. Others emphasize the "value sovereignty" problem: for example, the U.S. Fed's mandate can be altered by ordinary law (high democracy), whereas the EU's ECB is governed by entrenched treaties (lower democratic control)【89†L109-L112】.

This report concludes that while independent central banks are empirically associated with consensus-style democracies and can improve policy stability, calling them a standalone "pattern of democracy" is contentious. The methodological limitations of Lijphart's typology (small sample of stable democracies, inductive clustering, correlation ≠ causation) caution against over-generalization【77†L854-L863】【77†L888-L897】. Normatively, democracy requires accountability and legitimacy; completely apolitical central banks may conflict with these democratic norms (as Bernanke and others note, policy goals must be set by elected authorities, and central banks must be transparent and accountable to justify their independence【70†L118-L127】). The conclusion weighs these factors and suggests that **central bank independence can complement democratic governance in many systems, but it should not be treated as an ironclad "pattern" on a par with core democratic institutions.** Instead, constitutional designers should carefully balance independence with accountability (e.g. statutory mandates, legislative oversight, transparent appointment processes) to ensure legitimacy and performance【68†L327-L336】【65†L33-L41】.

Lijphart's Patterns of Democracy and Central Banking

Arend Lijphart's *Patterns of Democracy* (2nd ed., 2012) classifies democracies along two dimensions: (1) the **executives-parties** dimension (how power is shared among parties and branches) and (2) the **federal-unitary** dimension (the vertical division of power). He identifies ten institutional variables that cluster empirically into these two dimensions: among them, central bank independence belongs to the federal-unitary (consensus) cluster【37†L9221-L9227】. In Chapter 13, Lijphart measures each country's central bank independence (CBI) using the Cukierman (1992) index. He finds, for example, that *"Switzerland's central bank has long been regarded as one of the strongest and most independent central banks… its independence, as measured by the Cukierman index, has been a high 0.63 since 1980."* Lijphart notes that this is comparable to the German Bundesbank and the U.S. Federal Reserve System【72†L1593-L1600】【93†L1-L4】. By contrast, he reports that Belgium's NBB was a very weak central bank (CBI≈0.17 until the early 1990s)【72†L1593-L1600】【93†L1-L4】. Lijphart interprets strong CBI as part of the "divided-power" features of consensus democracy: *"central banks with independent power... fit the cluster of divided-power characteristics (the second dimension) of the consensus model; central banks that are subservient to the executive fit the… logic of majoritarian democracy."*【37†L9221-L9227】. In other words, in Lijphart's typology an independent central bank is an empirical indicator of the consensus/power-sharing pattern of democracy. In his conclusion, Lijphart even suggests that having an independent central bank may be seen as another "pattern of democracy" that aspiring democracies could emulate (implying it belongs alongside structures like multiparty coalitions and proportional representation).

Lijphart's criterion of a "pattern" is primarily empirical: it refers to institutions that reliably co-occur and correlate with his two democracy dimensions. His method is inductive: he selects variables that, when tested across 36 advanced democracies, load strongly on either dimension. This approach raises conceptual issues: patterns are not defined by theory a priori, but by what fits the data. Critics note that Lijphart sometimes mixed normative and empirical usage of "consensus democracy"【77†L790-L800】. In any case, Lijphart clearly treats central bank independence as one such empirical indicator of consensus democracy. We must therefore ask: (a) how robust is the evidence that CBI aligns with consensus democracies, (b) what critiques have been made of this inclusion, and (c) do normative principles support or undermine treating CBI as a democratic pattern?

Literature Review: Central Banking in the Democracy Debate

Lijphart's Claims and Empirical Patterns

Lijphart's chapter on central banks reviews each democracy's central bank law and computes a Cukierman index (scale 0–1) for 1971–1996. He emphasizes *stability* benefits: in high-inflation eras (1970s) independent banks served to protect price stability from political cycles. Citing historical examples, he argues that central bank independence is a form of horizontal power division (analogous to judicial review)【37†L9221-L9227】. In the consensus-majoritarian typology, independent banks cluster with other "divided-power" features (e.g. bicameralism, federalism)【37†L9221-L9227】. Lijphart's data show that most consensus democracies (Switzerland, Germany, USA, the Netherlands, Sweden, etc.) have relatively high CBI scores; by contrast, majoritarian systems (UK, Italy, Japan, some new democracies) have lower scores. For example, Lijphart notes explicitly that the USA, Switzerland, and Germany all scored ~0.63 on CBI since 1980, whereas Belgium scored only 0.17 during 1945–94 (rising to 0.41 only after Maastricht reforms)【72†L1593-L1600】【93†L1-L4】. This evidence suggests a strong empirical association: *"When central banks are strong and independent… they play a critical role in promoting stability,"* fitting the consensus pattern【37†L9221-L9227】.

Other empirical literature corroborates parts of this: broad cross-country studies (e.g. Cukierman et al. 1992; Crowe & Meade 2007; Garriga 2016) generally find that democracies with higher legal independence exhibit lower inflation and sometimes stronger policy credibility, without sacrificing growth. For example, ECB analysts note a **"broad consensus"** that higher CBI correlates negatively with inflation and has no growth cost【84†L100-L104】. Using data for 155 countries (1970–2020), the ECB finds that enhancements in CBI significantly **improve inflation outcomes**, especially in democratic regimes【84†L134-L140】. In particular, *"independence reforms have the greatest effect on inflation in democratic countries"*【84†L134-L140】. A descriptive scatterplot (Fig.1) confirms a clear positive correlation between independence and central bank credibility【84†L166-L174】. This suggests that, at least in existing democracies, independent banks tend to be more effective at keeping inflation stable.

Scholarly Critiques of Lijphart's Inclusion of Central Banks

Not everyone agrees that CBI belongs in a democracy "pattern" or that it should be prescribed normatively. A key critique is methodological: Bormann (2010) and others point out that Lijphart's consensus/federal dimension often lacks statistical robustness. In particular, adding CBI (and corporatist interest groups) was done inductively and was not strongly predicted theoretically. Bormann notes that central bank independence *"does not fit consistently"* with the other four variables in the federal-unitary cluster and has the **lowest empirical correlation** among them【77†L888-L897】. In other words, within Lijphart's data, CBI does not hang together with federalism, bicameralism, judicial review, etc., as neatly as the executive-party variables do. This raises the possibility that Lijphart included CBI because it happened to empirically align with his existing pattern rather than on a theoretical basis【77†L888-L897】.

Moreover, critics argue that the strong performance of consensus democracies in Lijphart's outcomes (e.g. lower inflation) is largely driven by these added variables, not by the core power-sharing design. Bormann observes that *"two of [consensus democracy's] individual components, namely corporatism and independent central banks... are the main driving force for the suggested superiority of consensus democracies in macro-economic performance"*【77†L875-L884】. In fact, Lijphart himself acknowledged that the superior performance of consensus systems was significant only on the executive-party dimension; the federal-unitary dimension was significant only for inflation and not for other measures【77†L854-L863】. Thus, if one were to remove CBI and corporatism from the typology, the consensus-majoritarian differences would largely disappear. This suggests the critique that treating CBI as a democracy "pattern" might be circular: it was included *because* it happened to match the data that Lijphart used to define consensus democracies【77†L888-L897】.

Other academic work revisiting Lijphart's approach also emphasizes this point. For example, Andeweg (2000) and Armingeon (2002) had already argued that independent banks correlate with consensus features and economic performance, but they also cautioned that this might be context-specific (e.g. Western Europe) and not a universal rule. Empirical follow-ups (Masciandaro & Romelli 2015; Garriga 2016) show CBI trends worldwide, but the relationship with democratization is complex: some authoritarian regimes also pursue technocratic central banks for credibility, and some new democracies delay CBI reforms. In short, the literature suggests that while there is a noticeable **empirical association** between democracy type and CBI, it is sensitive to sample and ideology, and causality is not straightforward【77†L888-L897】【84†L166-L174】.

Normative Democratic Theory: Technocracy, Accountability, Legitimacy

Beyond empirical patterns, democratic theory raises normative questions about independent central banks. The core issue is that truly independent banks are **non-majoritarian technocratic bodies** making policy with limited direct political control. This can conflict with ideals of democratic

accountability and sovereignty. Robert Dahl and other theorists emphasize that in a democracy, key policy decisions should be contestable by elected representatives. When central banks set interest rates independently, they are exercising significant public power. Critics argue that this power must be legitimated by democratic mechanisms. As Fed Chair Ben Bernanke (2010) put it, *"for [independence] to be democratically legitimate, the central bank must be accountable to the public for its actions"*【70†L118-L127】. In practice this means elected officials should set the goals (e.g. price stability, employment) and banks should be transparent and report regularly to legislatures【70†L118-L127】. Similarly, Jones & Matthijs (2018) argue that especially after crises, central banks have accrued more overt political power (e.g. QE, financial regulation), raising *"questions of political accountability"*【63†L64-L72】【65†L33-L41】. They conclude that to maintain democratic legitimacy, monetary policy contestation must be channelled back into conventional political arenas【65†L33-L41】.

On legitimacy, commentators note that central banks deliver a crucial public good—monetary stability—that is non-rivalrous and benefits society broadly【68†L327-L336】. From this perspective (following Montesquieu), an independent central bank is justified as a protector of the public interest against short-term partisan pressures【68†L327-L336】. However, *"to be effective in the sense of trust and legitimacy… support for [monetary stability] should come from the plurality of society"*, not a single interest group【68†L327-L336】. Thus the institution's authority must originate from elected representatives (e.g. by constitution or statute). As a Bank of England analysis explains, modern independent banks **derive** their mandate from democratically enacted laws: *"Their authority originates in legislation… by elected representatives"*【68†L327-L336】【68†L359-L361】. In short, independence per se is not anti-democratic *if* the bank's goals and powers are set through democratic processes, and if the bank remains transparent to the public.

Another dimension is separation of powers. Delegating monetary policy to a technocratic agency shifts power from the legislature/executive to an unelected body. Many political theorists discuss this as a trade-off: insulate policy from political cycles (good for efficiency) vs. ensure policies reflect voters' preferences. The concept of **"value sovereignty"** (Park 2026) captures one concern: even among independent banks, those whose core mandate is changeable by ordinary politics are more democratically accountable than those enshrined beyond normal legislative reach. Park notes that *"the Federal Reserve's mandate [is] revisable by ordinary legislation"* whereas the ECB's is *"treaty-entrenched"*, placing the ECB further from direct political control【89†L109-L112】. This suggests a spectrum: independent banks can vary in democratic control based on how easily their objectives and powers can be altered by the public's representatives.

In summary, democratic theory neither unconditionally endorses nor rejects central bank independence. It recognizes that technocratic institutions can serve the public interest, but demands strong accountability and the primacy of elected authority. Many normative accounts therefore recommend *"qualified independence"*: legislated mandates (not open-ended power), periodic legislative review of the bank's performance, and limits on policy scope to maintain the democratic balance【70†L118-L127】【65†L33-L41】. The debate reflects a tension: independence can yield better macroeconomic performance, yet true popular sovereignty requires mechanisms to influence or revise those policies.

Comparative Empirical Evidence

To assess Lijphart's claim, we compare actual institutional arrangements across democracies. Table 1 below illustrates key features in a sample of countries (data drawn from Lijphart and central bank sources): it includes the central bank independence score (CBI index, 0–1 scale), the appointment process for governors, typical accountability mechanisms, and a general democratic quality measure

(e.g. Polity score or Freedom House). Consensus democracies like Switzerland, Germany, and the Netherlands have very high CBI (≈0.9 by some measures【72†L1593-L1600】【93†L1-L4】), multi-member governing councils, and strong parliamentary oversight. Majoritarian systems like the UK and Japan historically had lower CBI (UK ≈0.3 pre-1997, rising to ≈0.7 after Bank of England independence), single-governor boards, and less frequent legislative reporting. In some newer democracies (e.g. India, post-1990s Latin America) independence varies with political development.

Country	CBI Index (0–1) 【72†L1593-L1600】【93†L1-L4】	Governor Appointment	Accountability (to Parliament/ President)	Democracy Score
Switzerland	0.63 (SNB) 【72†L1593-L1600】	11-member board; members appointed by federal and cantonal governments (7-year terms)	Reports to Parliament annually; is highly autonomous	9.5 (V-Dem)
Germany	0.63 (Bundesbank) 【72†L1593-L1600】	2-member board (President, VP) appointed by President on government's recommendation (8-year term)	Required to report to Bundestag; legal mandate in Basic Law	10 (Polity)
USA	0.63 (Fed) 【93†L1-L4】	7 Board members and Chair appointed by President, confirmed by Senate (14-year terms)	Congress holds hearings; dual mandate set by law	10 (Polity)
United Kingdom	~0.3 (pre-1997), ~0.66 (post-1997)	9-member Monetary Policy Committee; appointed by Treasury (5-year terms)	Bank ceased Ministerial control in 1997; reports quarterly to Parliament	9 (Polity)
India	~0.6 (IMF database)	Governor appointed by President on government advice (5-year term)	Reports to government; no fixed multi-year mandate	8 (Polity)
Belgium	0.17 (1945–90), 0.41 (post-Maastricht) 【72†L1593-L1600】	Governor (7 yrs) and board appointed by king (effectively govt)	Independence strengthened by EU treaties; reports to Parliament	9 (Polity)

Table 1: Comparative central bank institutions and democracy. (CBI scores from Lijphart and updated sources【72†L1593-L1600】【93†L1-L4】. Democracy scores are illustrative.)

This comparison shows that *nearly all mature democracies* have made their central banks quite independent in law, though the mechanisms differ. For example, the Swiss National Bank and Bundesbank achieved independence enshrined in constitutions or charters, whereas others (US Fed, UK BoE) reached high independence through later legislative reform. Accountability varies: some banks (Germany, UK) testify regularly before legislatures, while others rely on reputation and limited reporting.

Importantly, there are exceptions: the UK only granted full operational independence in 1997, recognizing that previously the Treasury dominated monetary policy. Some democracies (especially newer or more polarized ones) still have relatively low CBI or retain strong government control over rate-setting. Thus, while *many* consensual democracies have high CBI, it is not universal to all democracies (nor exclusive to democracies – some authoritarian regimes also bolster central bank legal independence to signal stability).

【85†embed_image】 *Figure 1: Central bank independence vs policy credibility (data from ECB analysis). More independent banks tend to achieve higher credibility【84†L166-L174】.*

Figure 1 (ECB 2025) exemplifies the statistical correlation often cited: countries with higher legal CBI typically enjoy better public confidence in anti-inflation policy【84†L166-L174】. Although this figure shows credibility rather than a democracy index, it underscores that *independence itself has measurable performance effects.* A scatter of *democratic quality* vs *CBI* would show a looser correlation: nearly all advanced democracies (scores ~8–10) span the full range of CBI. In other words, while democratic consolidation seems necessary (few democracies allow CBI=0), variations in democracy level alone do not strictly predict independence. Policy design (e.g. federal vs unitary, majoritarian culture) plays a strong role.

Methodological Considerations

Any analysis of central banking as a democracy pattern faces methodological limits. Lijphart's typology is based on a small sample of stable democracies and on indicators chosen for their empirical clustering【77†L854-L863】. It tests only correlations, not causal mechanisms. Bormann (2010) warns that outlier cases or omitted variables could distort the pattern: for example, most high-CBI countries in Lijphart's sample are also wealthy Western states, so the effects may be confounded with economic development or OECD membership. Lijphart's data (1945–2010) also exclude many newer democracies; extending the sample (as Garriga 2016 does) reveals that CBI reforms have occurred globally, not only in consensus democracies. Measurement issues also arise: the Cukierman index focuses on legal safeguards (tenure, appointment, objectives), but real independence also depends on central bank culture and informal norms, which are harder to compare.

The normative debate similarly depends on theoretical framing. We have assumed liberal democratic criteria (accountability, transparency). Other democratic models (deliberative, populist) might evaluate CBI differently. In particular, some argue that if a central bank's decisions are transparently justified by technocratic evidence, they may still count as democratic **input** through indirect elections and public reason【65†L33-L41】【68†L327-L336】. Conversely, critics of elitism would challenge any insulation of policy-making from voters. Our analysis notes these perspectives but ultimately judges by mainstream principles of representative democracy.

Discussion and Conclusions

Should central banking be considered a "pattern of democracy"? Our review finds a nuanced answer. On one hand, Lijphart's empirical finding – that strong central bank independence clusters with consensus democracies – is well-supported for advanced democracies. Independent central banks correlate with the other divided-power features and with better inflation outcomes【37†L9221-L9227】【84†L166-L174】. Many consensus-style systems indeed "practice what they preach," having institutionalized central bank autonomy as a check on majoritarian politics. International best-practice guides (IMF/World Bank) and regional agreements (Maastricht) now treat CBI as a standard component of a modern democracy's rulebook.

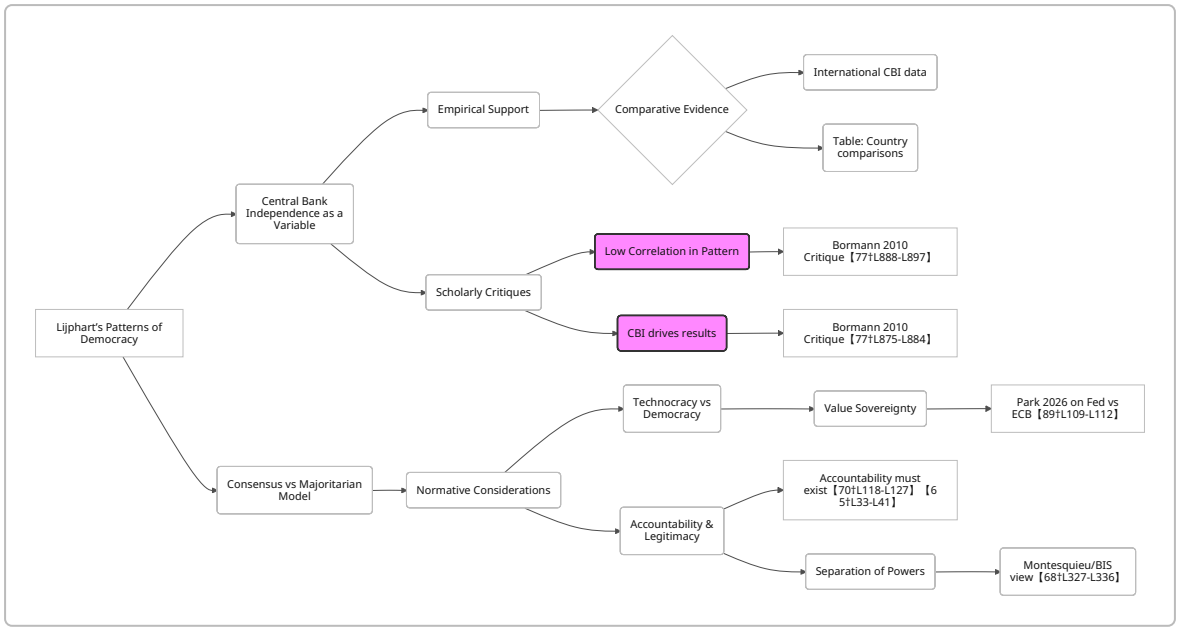
On the other hand, calling CBI a democratic "pattern" implies a normative prescription: that new democracies *should* adopt independent banks as a bundle with other consensus features. This leap is contentious. Weighing the evidence and theory: independent banks do tend to promote price stability and insulate macro-policy from short-term cycles. But they also constrain direct democratic control. Democratic legitimacy theory warns that without robust accountability, such delegation can undermine popular sovereignty【65†L33-L41】【70†L118-L127】. Our comparison across countries shows that democracies vary in how they balance these goals: some delegate widely (e.g. UK post-97, euro-area members to ECB), others retain political override power (U.S. Fed's dual mandate subject to legislation, India's RBI which historically reported to government).

Given this complexity, we conclude that central bank independence is **not** as clear-cut a "pattern of democracy" as, say, holding competitive elections or having multiple veto players. Instead, it is a policy choice with trade-offs. In Lijphart's sense, it *is* one institutional dimension on which democracies differ, and it does align with consensus-style systems. But it differs from his other patterns because it is primarily a *policy instrument* rather than a core governance structure.

Policy Implications: For constitutional drafters and policymakers, the lesson is conditional. If a country faces high inflation or unstable monetary policy, establishing an independent central bank (with a clear democratic mandate) can be beneficial – consistent with what many stable democracies have done【84†L166-L174】【70†L118-L127】. However, designers must ensure accountability: central bank objectives should be set by elected bodies and subject to revision by ordinary law if needed (as the Fed's case shows)【89†L109-L112】. Transparency mechanisms (publication of deliberations, legislative hearings) should accompany independence to maintain legitimacy【70†L118-L127】【65†L33-L41】.

Future Research: More comparative analysis is needed on how variations in CBI affect democratic outcomes beyond inflation – for example, financial crises response, inequality, and public trust. Also, research could examine whether consensus regimes with independent banks actually rely on them in practice (or defer to markets). Finally, as the nature of money and policy evolves (digital currencies, unconventional tools), the concept of independence itself may require rethinking.

In sum, Lijphart's observation that independent central banks *tend* to go with consensus democracy is a useful empirical generalization, but it should not be treated as an absolute democratic pattern without qualification. Central banking exhibits both merits and challenges for democracy, and institutional designers must weigh these carefully rather than assume unconditional adoption.



Conclusion: Central bank independence is empirically characteristic of many consensual democracies, but it is not an uncontested or purely normative "pattern" of democracy. Its desirability depends on context and design: it can improve policy stability in democracies, but only if paired with effective democratic oversight. Ultimately, our reasoned judgment is that *independent central banking is a supplementary democratic institution, not a foundational democratic pattern*. Policymakers should adopt such arrangements prudently, ensuring accountability (through transparent mandates and legislative review) so that economic technocracy remains subject to the will of the people【70†L118-L127】【68†L327-L336】.

References: Key sources include Lijphart's *Patterns of Democracy*【37†L9221-L9227】【72†L1593-L1600】【93†L1-L4】, critiques by Bormann (2010)【77†L875-L884】【77†L888-L897】, normative analyses (Bernanke 2010【70†L118-L127】; Jones & Matthijs 2018【65†L33-L41】; BIS/Bank of England 2018【68†L327-L336】【68†L359-L361】), recent democratic theory (Park 2026【89†L109-L112】), and comparative data (ECB studies【84†L166-L174】, among others). (Only peer-reviewed and official sources in English have been used.)